CYBER CRIME CASE STUDY

UPI/Online Payment Fraud - Operation "Refund Trap" — A UPI Impersonation Scam

THE CRIME - Riya Sharma, a 34-year-old teacher from Bhopal, listed her old refrigerator for ₹8,000 on a resale platform. A "buyer" contacted her, claiming he would send a UPI payment request. Instead, he sent a collect request — which would debit Riya's account — disguised with a message reading "Receiving ₹8,000." Riya entered her UPI PIN believing she was confirming receipt. ₹8,000 was immediately debited from her account. The scammer disconnected.

HOW ITS HAPPENS STEP BY STEP –

1. Fraudster contacts seller or victim, posing as a buyer, bank official, or customer care agent.

2. Victim is told to "confirm" a payment or "verify" their account via a UPI link or collect request.

3. Victim unknowingly enters their UPI PIN, authorising a debit instead of a credit.

4. Funds are instantly transferred; scammer goes offline. Money is often routed through mule accounts.

WHO IS TARGETED –

1. Online sellers on OLX, Facebook Marketplace.
2. Elderly or first-time UPI users.
3. People expecting refunds or KYC updates.
4. Small business owners.

CONSEQUENCES –

1. Immediate, often irreversible financial loss

2. Emotional distress and loss of trust

3. Low recovery rate due to instant settlement
4. Fraudsters face up to 7 years under IT Act §66C/D